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Another Bubble Bursts

The first sign of trouble was a rise in interest rates. In absolute terms, interest rates were quite high at 15-16 per cent in the mid-1990s. Still, companies were able to make good returns on their business even after borrowing at those rates, and continued to expand capacities. Eventually, there came a point when supply exceeded demand and the economy started slowing. Heavy borrowing by the government to balance its books also served to push up interest rates. In addition, the RBI tightened monetary policy, partly to discipline the government and partly to prevent the economy from overheating.

'I think the party is nearing an end; rising interest rates is bad news for the stock market,' GB remarked to me one day as we were having tea after the day's trading.

Seeing the quizzical look on my face, GB explained the link to me: 'Higher interest rates means companies have to pay more on their loans, and this squeezes their profit margins. That itself will cause stock prices to fall in anticipation of reduced corporate earnings. But more importantly, when people can earn 12 per cent on their fixed deposits without breaking a sweat, why would they lose sleep to make 20-25 per cent from equities where the risk is much higher?'

In 1995-96, over 1,400 companies raised a little over Rs 14,000 crore. The year before they had raised around Rs 21,000 crore. The primary market was floundering by now, and the secondary market was doing worse. As long as the primary market did well, a good chunk of the profits would find their way into the secondary market. And while the Sensex